FREE CHEAT SHEET

Germany's Tax-Advantaged Accounts, Explained in English

The five main ways to save with a tax break or a state subsidy, with the German term for each. Figures for 2026.

ACCOUNT	HOW IT WORKS	KEY NUMBERS	GOOD TO KNOW
Workplace pension **bAV** betriebliche Altersversorgung	You convert part of your gross salary into a pension contract through your employer (Entgeltumwandlung). The money is taken before income tax, and up to a limit before social security too.	Tax free up to **€8,112 a year** (€676 a month). Social security free up to **€4,056 a year** (€338 a month). Employer must add **15%** if it saves social contributions.	Payouts are taxed and usually carry health and care insurance contributions. It can slightly lower your statutory pension. Typically suits employees whose employer offers it.
Basisrente **Rürup** private pension with deductible contributions	A private annuity contract whose contributions you deduct on your tax return as special expenses (Sonderausgaben).	Deductible up to **€30,826** (single) or **€61,652** (couples), **100%** since 2023. Your statutory pension contributions count toward the limit.	Locked until retirement and paid as a lifelong annuity, with no lump sum. Typically suits self-employed people and high earners with a high tax rate.
ETF savings plan + tax free allowance **Sparplan, Sparer-Pauschbetrag** flexible investing through a broker	Regular investing in funds at a broker. You can sell any time. File an exemption order (Freistellungsauftrag) so your allowance is used.	First **€1,000** (single) or **€2,000** (couples) of investment income a year is tax free. Equity funds get a **30%** partial exemption (Teilfreistellung) on taxable gains.	Above the allowance, gains are taxed at about 26% (25% plus solidarity surcharge, church tax extra). No lock-in, so it suits anyone who wants flexibility.
Employer savings contribution **VL** vermögenswirksame Leistungen	If your contract or collective agreement includes it, your employer pays a monthly amount into a savings product you choose. You may also get a state savings bonus (Arbeitnehmer-Sparzulage).	Bonus: **20%** on up to **€400 a year** in equity funds (max €80), or **9%** on up to €470 in building savings (max €42.30). Taxable income limit: **€40,000** single, **€80,000** couples.	7 year lock-in for the bonus. The VL itself counts as taxable pay, only the bonus is tax free. Typically suits employees with low or mid incomes whose employer pays VL.
NEW FROM 1 JAN 2027 **Altersvorsorgedepot** **replaces Riester for new contracts** state subsidised retirement depot	A retirement investment account with a state subsidy. Up to 100% in equity funds is allowed, no guarantee required. Standard product costs are capped at 1.0% a year. Self-employed people can qualify.	Subsidy: **50%** on your first €360, **25%** on the next €1,440 (up to €1,800), so **up to €540 a year**. Up to **€300** per child. **€200** one-time bonus if you open it before 25.	Payout starts at 65 to 70, with up to 30% as a lump sum (per published guidance). Existing Riester contracts continue unchanged. Confirm details when providers launch.

Already have a Riester contract? It continues unchanged. The new depot is for new contracts from 2027, and there is no automatic switch.

Three questions before you open anything

1. **Employee or self-employed?** It decides which accounts you can use.
2. **Does my employer offer bAV or VL?** Ask HR before you look elsewhere.
3. **Can I leave the money locked until retirement?** If not, avoid Basisrente.

Your next step

This sheet gives the overview. For your own situation, ask a tax adviser (Steuerberater) or a fee-only adviser (Honorarberater).

Watch the full explainer on YouTube: @justinvsgermany

General information only, not tax, legal or investment advice. Figures are for 2026, status October 2026. Rules and limits change, so check them before you act. The Altersvorsorgedepot details come from published guidance and may change before launch. Based on the workplace pension limits (bAV), Basisrente limits, savings bonus rules and published guidance on the 2027 reform. © 2026 Justin vs Germany · thepriceofgermany.com